M/S. KRIPYA TECHNOLOGIES PRIVATE LIMITED
(Formerly known as Kripya Technologies (India) Private Limited)
(CIN: U62011TN2010PTC078513)
Notes Forming Part of Accounts

GENERAL INFORMATION

The Company was incorporated on 22th December 2010 and the Statement of Profit and Loss for the year ending 31st March 2025 the Balance sheet and the Cash flow statement as at 31st March 2025 has been prepared. The Company during the period was engaged in Researching, analyzing the markets and Developing Solar Related projects/solar related products, and assembling of solar related equipment in addition to software consultancy and other related activities.

Following the end of the contract on 31st August 2023 from its primary client, the company ceased all business activities related to its previous engagements. Consequently, there were no business operations beyond administrative expenses from September 2023 to the financial year-end.

Note 1 - SIGNIFICANT ACCOUNTING POLICIES

A. Basis For Preparation of Financial Statements

   a. The financial have been prepared under historical cost convention on accrual basis and comply with notified accounting standards as referred to in Section 133 and other relevant provisions of the Companies Act, 2013.

   b. The Company is a small and medium sized Company as defined in the General Information in respect of Accounting Standard notified under the Companies Act, 2013 with the Accounting Standard as applicable to small and medium sized Company. Accordingly, the Company has complied with the Accounting Standards as applicable to small and medium Sized Company.

   c. All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013. Based on the nature of products and the time between the acquisition of assets for processing and their realisation in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for the purpose of current, non-current classification of assets and liabilities.

B. Going Concern Assumption

   Despite the cessation of business activities post-contract termination, the company's management believes that the going concern assumption remains valid. The company is not undergoing liquidation and is expected to resume business operations with new engagements anticipated in the near future.

C. Significant Event – Acquisition / Change in Control
   During the financial year ended March 31, 2025, the Company was acquired by M/S Kripya Solutions Private Limited, resulting in a change in ownership and control effective from 08th October 2024.

The acquisition was effected through the purchase of 100% of the equity share capital of the Company. Post-acquisition, the Company became the subsidiary of M/S Kripya Solutions Private Limited.

D. Inventories

The company did not hold any inventories of raw materials, finished goods, or work-in-progress as of 31st March 2025. The valuation principles for inventories, if applicable, are as follows:

a) Raw Materials, Stores, and Regular Spares: Inventories of raw materials, stores, and regular spares are valued at the lower of cost or market value.
b) Finished Goods: Inventories of finished goods, including those held for captive consumption, are valued at the lower of cost and net realizable value.
c) Work-in-Progress: The value of work-in-progress for all products is not considered for inventory purposes due to materiality and the practical challenges in accurately quantifying such stocks.
d) Software Consultancy Services: The valuation of software consultancy services is based on the completion of the assignments.

E. Prior Period Items

Significant items of income and expenditure which relate to prior accounting period are accounted in the Statement of Profit and Loss under the head “prior period adjustments” other than those occasioned by events occurring during or after the close of the year and which are treated as relatable to the current year.

F. Depreciation

Depreciation is provided by Straight line method in accordance with the rates arrived at based on the life of the asset specified in the Schedule II to the Companies Act, 2013 or estimated by the management.

G. Revenue Recognition

a. Sales include value of goods sold and related revenues and does not include excise duty and other statutory levies.

b. Revenue in respect of interest and other income are recognized and accounted for to the extent the Company is reasonably certain of their ultimate realization.

H. Property, Plant & Equipment and Intangible Assets

a. Tangible fixed assets are recorded at the cost of acquisition or construction, including interest/financial charges and expenditures incidental and related to such acquisition/construction. As of 31st March 2025, the company does not hold any tangible fixed assets.

b. Intangible fixed assets are stated at acquisition cost, net of accumulated amortization and accumulated impairment losses, if any. As of 31st March 2025, the company does not hold any intangible fixed assets.

c. Subsequent expenditures related to an item of fixed asset (both tangible and intangible) are added to its book value only if they increase the future benefits from the existing asset beyond its previously assessed standard of performance.

d. Losses arising from the retirement of, and gains or losses arising from the disposal of fixed assets, which are carried at cost, are recognized in the Statement of Profit and Loss.

e. Machinery spares, other than those required for regular maintenance, are capitalized at cost.

G. Foreign Currency Transactions, Forward Contracts and Derivatives

a. Transactions in foreign currency are recorded at the rate of exchange prevailing on the date of the transactions.

b. Exchange differences either on settlement or on translation are charged to expenses in the Statement of Profit and Loss.

H. Investments

Long term investments are valued at cost after appropriate adjustment, if necessary, for diminution in their value which are other than temporary in nature. Current Investments are stated at lower of cost and fair value.

I. Employee Benefits

a. Short term employee benefits are recognized as an expense at an undiscounted amount in the Statement of Profit and Loss of the year in which the related service is rendered.

b. The eligible employees of the Company are entitled to receive benefits under the Provident fund, a defined contribution plan in which both the employees and the Company make monthly contributions at a specified percentage of the covered employees' salary. The Company recognizes such contributions as expense of the year in which the liability is incurred.

c. The Company accounts for gratuity in their books of accounts based on the provisions of Payment of Gratuity Act.

d. The Company provides superannuation to its employees covered as per the terms of employment and the company made provision for the same in their books of accounts.

J. Borrowing Cost

a. Borrowing cost on working Capital is charged against profit/loss for the year in which it is incurred.

b. Borrowing cost that are attributable to the construction/acquisition of tangible fixed Assets are capitalized as a part of the cost of these capitalized assets till the date of completion of physical construction/mechanical completion of the assets.

c. Borrowing cost that are attributable to the development /acquisition of intangible assets are capitalized till the date of use.

K. Related party disclosures

The details of the related party transactions are disclosed in accordance with "AS 18 – Related Party Transactions", in the Notes on Accounts given below.

L. Taxes on Income

Current tax is determined as the amount of tax payable in respect of taxable income for the period. Deferred tax is recognized, subject to the consideration of prudence in respect of deferred tax assets, on timing differences, being the differences between taxable income and accounting income that originate in one period and are capable of reversal in one or more subsequent periods. For this purpose, deferred tax liabilities and assets are reckoned on net basis, after inter-set-off, for each component of the timing differences

M. Impairment of Assets

The Company assesses at each balance sheet date whether there is any indication that any asset may be impaired. If any such indication exists, the recoverable amount of the asset is estimated. Impairment loss is recognized if the carrying value exceeds the recoverable amount.

N. Contingent Liabilities

Contingent Liabilities as defined in Accounting Standard-29 are disclosed by way of notes on accounts.

Note 2 - NOTES ON ACCOUNTS

1. Estimated value of contracts remaining to be executed on capital account/and other demands and not provided for is Rs. Nil (previous year Rs. Nil)

2. Property, Plant & Equipment and Intangible Assets

   As of 31st March 2025, the company does not hold any Property, Plant & Equipment or Intangible Assets.

3. Inventory

As of 31st March 2025, the company does not hold any inventories of raw materials, finished goods, or work-in-progress.

4. Impairment of Assets

The Company has examined the carrying cost of its identified Cash Generating Units (CGUs) by comparing the present value of estimated future cash flows from such CGUs in terms of Accounting Standard-28 on Impairment of Assets. However, AS-28 on Impairment is not applicable since there are no Property, Plant, and Equipment (PPE) or Intangible Assets as of 31st March 2025. Therefore, no provision for impairment is required.

5. Employees emoluments include remuneration to a director as under:

Particulars	**FY 2024-25**	**FY 2023-24**
Salary and Allowances	-	28,03,250
Contribution to Provident fund	-	71,400

6. Loan from directors

The Company has taken the following loans from the directors

Name of the director	**Advances Outstanding**		
	Opening balance	**Repayment**	**Closing balance**
Mr. Vilakkudi G Veeraraghavan	4,00,000	4,00,000	-

7. To comply with the requirement of the micro, small and medium enterprises development Act, 2006, the Company requested its suppliers to confirm whether they are covered as micro, small, and medium enterprises as is defined in the said Act. Based on the confirmations received, the Company has recognized them for the necessary treatment as provided under the Act, from the date of receipt of such confirmations and there is no default in payment to such enterprise as specified in the said act. However, the amounts, outstanding as well as interest applicable are insignificant and hence not separately disclosed.

8. Related party Disclosure

Name of the Related Party	**Nature of Relationship**	**Nature of Transaction**	**FY 2024-25**	**FY 2023-24**
Mr. Venkata Ravindra Thotakura	Key Managerial Personnel	Salary & Allowances	-	28,03,250
		PF Employer Share	-	71,400
Mr. Veeraraghavan	Director	Loans Repaid	4,00,000	10,00,000
		Outstanding Loan	-	4,00,000

9. The Bank details shown in the Balance Sheet are representing the balances available on the date of the Balance sheet in the following accounts with the Schedule Banks:

Name of the Bank	Type of Account	As At 31.03.2025	As At 31.03.2024
ICICI Bank Ltd, T Nagar, Chennai	Current A/c	6,09,857	1,95,882
Total		**6,09,857**	**1,95,882**

10. Key Financial Ratios

Particulars	Unit of Measurement	March 31, 2025	March 31, 2024	Variation in %
Current Ratio	Times	16.76	2.51	567.73%
Debt-Equity Ratio	Times	Nil	Nil	NA
Debt Service Coverage Ratio	Times	Nil	Nil	NA
Return on Equity Ratio	%	-24.00%	-99.52%	-75.88%
Inventory Turnover Ratio	Times	NA	NA	NA
Trade receivables Turnover Ratio	Times	0	8.6	-100.00%
Trade payables Turnover Ratio	Times	0	38.61	-100.00%
Net Capital Turnover Ratio	Times	0	13.56	-100.00%
Net Profit Ratio	%	-1.74%	-16.10%	-89.19%
Return on Capital Employed	%	-27.27%	-198.10%	-86.23%
Return on Investment (Assets)	%	NA	NA	NA

Formula adopted for above ratios:

a. Current Ratio = Current Assets / Current Liabilities
b. Debt-Equity Ratio = Total Debt / Total Equity
c. Debt Service Coverage Ratio = (EBITDA – Current Tax) / (Principal Repayment + Gross Interest on term loans)
d. Return on Equity Ratio = Profits After Tax / Average Total Equity
e. Inventory Turnover Ratio = Turnover / Average Inventories
f. Trade receivables Turnover Ratio = Turnover / Average Trade receivables
g. Trade payables Turnover Ratio = Turnover / Average Trade payables
h. Net Capital Turnover Ratio = Turnover / Working Capital
i. Net Profit Ratio = Profits After Tax / Turnover
j. Return on Capital employed = Profits After Tax / Shareholder's Funds
k. Return on Investment (Assets) = Profits After Tax / Total Fixed Assets

Reasons for variations more than 25%

1. **Current Ratio (567.73% increase):**
   The significant increase in the current ratio from 2.51 to 16.76 is primarily due to the cessation of business activities after 31st August 2023. This led to a reduction in current liabilities, while current assets remained relatively stable, thereby improving the current ratio.

2. **Return on Equity Ratio (-75.88% decrease):**
   The drastic increase in the return on equity ratio from -99.52% to -24.00% is attributable to the company's lack of business operations post 31st August 2023, resulting in a significant decrease in loss.

3. **Trade Receivables Turnover Ratio (-100.00% decrease):**
   The decrease in the trade receivables turnover ratio from 8.60 to 0 reflects that there is no business activities and corresponding sales.

4. **Trade Payables Turnover Ratio (-100.00% decrease):**
   The decrease in the trade payables turnover ratio from 38.61 to 0 reflects that there is no business activities and corresponding purchases post 31st August 2023.

5. **Net Capital Turnover Ratio (-100.00% decrease):**
   The net capital turnover ratio decreased from 13.56 to 0 due to the cessation of revenue-generating activities after 31st August 2023. This reduction in net sales, coupled with stable or slightly increased net working capital, led to a lower turnover ratio.

6. **Net Profit Ratio (-89.19 % decrease):**
   The net profit ratio improved from -16.10% to -1.74 % primarily due to no due to the absence of operational costs during the Financial Year 2024-25.

7. **Return on Capital Employed (-86.23% decrease):**
   The return on capital employed improved from -198.10% to -86.23%, primarily due to reduced operational cost during the Financial Year 2024-25.

Note: For ratios marked as "NA" (Not Applicable), either there were no relevant values to compare due to the absence of inventories or investments in the current period.

11. Previous Year Figures

The previous year figures have been reclassified / regrouped wherever necessary, for the purposes of comparison with the current year figures.

As per our Report of even date

For RVK & Co.
Chartered Accountants
FRN: 015063S

For Kripya Technologies Private Limited

R V Krishnan
Proprietor
M. No. 028364
UDIN:

Ramamoorthy Srinivasan
(DIN: 11010046)

Ramaswamy Gopalaswamy
(DIN: 650290)
Place: Chennai
Date: 03-Jul-2025